interest and principal repayments were paid by the Government of India. These liabilities are true off-budget liabilities of the Government of India.

The true debt of the Government of India is the sum of debt and liabilities raised and accounted for in the CFI, the resources of the Public Account used to fund the government/fiscal expenditure and the liabilities created outside the CFI and the Public Account to fund government/public/fiscal expenditure.

The government reports its public debt and liabilities as part of the Budget papers. A Statement of Liabilities of the Central government is always published as part of the Receipt Budget.

The Finance and Accounts of the Government of India, prepared annually by the Controller General of Accounts (CGA), also publish the details of debt and liabilities. These are actual accounts and available in the public domain only after the CAG has audited the accounts and the same are placed in the Parliament.

Further, the Ministry of Finance annually publishes a ‘Status Paper on Government Debt’.

Government Started Counting its Fiscal Deficit in 1991–92

The Government of India did not recognize the concept of fiscal deficit until the 1980s. Earlier, the government used to treat all receipts, whether tax, non-tax or debt, as the same kind of receipt without any difference relating to their implications for its debt. The difference between total receipts and total expenditures was treated as budget deficit or residual deficit, which was left as uncovered to be bridged by ad hoc borrowing from the RBI. For example, in the Budget speech of 1980–81, the finance minister, in para 62, said, ‘… the total receipts in 1980–81 are estimated at Rs 19,827 crore as against Rs 18,980 crore in the interim Budget. Total expenditure is estimated at Rs 21,467 crore. The deficit at existing rates of taxes will thus be Rs 1640 crore.’ After accounting for additional resource